

**SHENANDOAH TELECOMMUNICATIONS COMPANY AND SUBSIDIARIES**  
**NOTES TO CONSOLIDATED FINANCIAL STATEMENTS**

**Note 10. Stock Incentive Plan (Continued)**

|                           | 2003                    | 2002    | 2001    |
|---------------------------|-------------------------|---------|---------|
| Dividend rate             | <b>1.68% to 2.35%</b>   | 1.52%   | 1.78%   |
| Risk-free interest rate   | <b>3.00% to 3.18%</b>   | 4.24%   | 4.31%   |
| Expected lives of options | <b>5 to 10 years</b>    | 5 years | 5 years |
| Price volatility          | <b>38.83% to 51.02%</b> | 30.03%  | 38.29%  |

A summary of the status of the Plan at December 31, 2003, 2002 and 2001 and changes during the years ended on those dates is as follows:

|                                      | Shares         | Weighted<br>Average Grant<br>Price Per Share | Fair Value<br>Per Share |
|--------------------------------------|----------------|----------------------------------------------|-------------------------|
| Outstanding January 1, 2001          | 117,122        | \$ 12.50                                     |                         |
| Granted                              | 39,938         | 15.79                                        | \$ 5.51                 |
| Cancelled                            | (6,580)        | 14.86                                        |                         |
| Exercised                            | (12,426)       | 10.72                                        |                         |
| Outstanding December 31, 2001        | 138,054        | 13.51                                        |                         |
| Granted                              | 47,646         | 17.59                                        | 4.08                    |
| Cancelled                            | (19,758)       | 13.95                                        |                         |
| Exercised                            | (16,238)       | 11.27                                        |                         |
| Outstanding December 31, 2002        | 149,704        | 14.99                                        |                         |
| Granted                              | 75,396         | 18.89                                        | \$ 4.24 to 11.37        |
| Cancelled                            | (11,892)       | 16.62                                        |                         |
| Exercised                            | (40,988)       | 11.89                                        |                         |
| <b>Outstanding December 31, 2003</b> | <b>172,220</b> |                                              |                         |

There were 85,670, 91,658 and 83,114 shares exercisable at December 31, 2003, 2002 and 2001, at weighted average exercise prices per share of, \$15.94, \$13.70, and \$11.71, respectively. During 2002, the Company issued 4,654 shares of Company stock to employees valued at \$100 thousand in recognition of the Company's 100<sup>th</sup> year anniversary. The following table summarizes information about stock options outstanding at December 31, 2003:

|      | Exercise<br>Prices    | Shares<br>Outstanding | Option Life<br>Remaining | Shares<br>Exercisable |
|------|-----------------------|-----------------------|--------------------------|-----------------------|
| 1999 | \$ 9.97               | 9,700                 | 1 year                   | 9,700                 |
| 2000 | 17.19                 | 25,900                | 2 years                  | 25,900                |
| 2001 | 15.79                 | 31,626                | 3 years                  | 31,626                |
| 2002 | 17.59                 | 36,888                | 4 years                  | 18,444                |
| 2003 | <b>\$ 17.98-22.01</b> | <b>68,106</b>         | <b>5 to 10 years</b>     | -                     |

**Note 11. Major Customers**

The Company has one major customer and relationship that is a significant source of revenue. In 2003, as during the past number of years, the Company's relationship with Sprint continued to increase, due to growth in the PCS business segment. Approximately 61.2% of total revenues in 2003 were generated by or through Sprint and its customers using the Company's portion of Sprint's nationwide PCS network. This was compared to 57.6% in 2002, and 47.1% of total revenue in 2001. No other customer relationship on a stand-alone basis generates more than 2.5% of the Company's total revenue for 2003, 2002 and 2001.